

teaching projects, or they can invest externally through the endowment. If the endowment is taking on external risk—via equities, for example—this signals that the university does not have enough good internal risky projects generating social dividends. If the endowment is invested in safe assets, through bonds, the university takes on risk through internal research and teaching projects. Gilbert and Hrdlicka argue that a university endowment's large investment in risky assets is a sign that it does not have enough fruitful research and teaching assignments!

Harvard, with its large endowment heavily invested in risky illiquid assets, would take issue with Gilbert and Hrdlicka. An endowment allows a university to be more independent, rather than depend entirely on grants from government or private foundations. As Dershowitz argues, the endowment could be used as a rainy day account to be tapped precisely during times like 2008. Harvard's endowment has historically yielded a predictable stream of cash for operating budgets, but 2008 blew this predictability away. Harvard claims its endowment allows for future generations to share in its riches, saying, "Although their specific uses vary, endowment funds have a common purpose: to support activities not just for one year, or even one generation, but in perpetuity."⁴⁵ The price of education, however, has been rising in real terms (see chapter 11), and if education is costlier in the future than in the present, being stingy on research and teaching now makes no sense because it substitutes a more expensive good in the future for a cheaper one today.⁴⁶

Henry Hansmann, a professor at Yale Law School, describes large private universities as "institutions whose business is to run large pools of investment assets. . . . They run educational institutions on the side, that can expand and contract to act as buffers for investment pools."⁴⁷ He contends that a large part of why universities like large endowments is prestige, pursued as its own objective. Journalist Kevin Carey puts it another way, echoing the cadences of the *Book of Common Prayer* when he says that large endowments per se are "aspiration without limit, accumulation without end."⁴⁸

6.3. LIQUIDATE HARVARD?

Did Harvard generate excess returns, or an illiquidity risk premium, from its large investments in illiquid, alternative assets? Yes. Harvard could extract value from illiquid asset investing not because illiquid asset classes have a large risk premium but because it is a skillful investor. And it is one of the few investors able to do so.

⁴⁵ "About HSPH: Endowment Funds: What Are Endowment Funds?" Harvard School of Public Health, <http://www.hsph.harvard.edu/about/what-are-endowment-funds>

⁴⁶ See Hansmann (1990).

⁴⁷ "Q&A. Modest Proposal. An Economist Asks, Does Harvard Really Need \$15 Billion?" *New York Times*, Aug. 2, 1998.

⁴⁸ Kevin Carey, "The 'Veritas' About Harvard," *Chronicle of Higher Education*, Sept. 28, 2009.